Santander Corporate & Investment Banking

Latin American Equity Research

Brazil. Agribusiness

November 7, 2025

SLC Agrícola

Reducing Estimates on Cost Inflation and Leverage Deflation; Lowering YE2026 TP to R$18.00

Neutral

Current Price R$16.11
Target Price R$18.00
BBG SLCE3 BZ

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Key Highlights:

Maintaining **Neutral** on SLC and lowering YE2026 TP to R$18/share on higher-than-expected costs

While the announced JV supports leverage reduction, it may not move the needle on equity value.

Neutral Rating Maintained; Target Price Cut to R$18.00 on Higher Costs

We are reiterating our **Neutral** rating on SLC and lowering our YE2026 target price from R$19.00/share to **R$18.00/share**. We believe higher-than-expected costs this season could spill over into 2026, given the longer sales cycle of key crops. As a result, **we cut our 2026 adj. EBITDA estimate by 21% to R$1.7 bn, 9% below consensus.** While we welcome the newly announced joint venture (see below) for its role in reducing leverage and highlighting SLC's capital discipline, we believe the underlying fundamentals of farming remain challenging.

Cost Pressures Intensifying and May Extend into 2026

SLC raised its 2024/25 season cost guidance by 7% vs. its August forecast, mainly due to higher chemical usage, particularly in cotton. While commodity and input prices typically tend to move together in the long run, the recent short-term divergence is compressing margins, especially in Brazil where FX appreciation has added pressure. The two-year commercialization cycle of cotton implies that part of the current cost shock could spill into the 2026 results.

New Land JV Adds Flexibility but With Limited Impact on Earnings

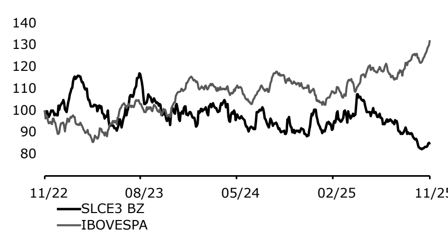
On November 6, SLC announced a joint venture involving the contribution of one farm (Piratini) and the sale of another (Paladino) for **R$723 million**, under which the partner will receive 19% of the yield from both operations. SLC retains a **50.01% stake** in the new entity. We estimate this to increase minority interest expenses by R$33 mn with a reduction in interest expenses of R$82 mn after tax. The transaction also means SLC will share roughly half of the land appreciation with its partner, at an estimated opportunity cost of R$43 mn when adjusted for inflation. While the JV would improve SLC's balance sheet flexibility, it may not meaningfully change the company's earnings profile, in our view.

What Has Changed?

YE2026 TP to R$18.00 from R$19.00; Maintaining Neutral

Previous TP was set on 10/03/25

Relative Performance (R$)



Source: FactSet.

Company Data, November 06, 2025 (closing price)

Bloomberg code	SLCE3 BZ
Current Price	R$16.11
Target Price (YE 2026)	R$18.00
Price Perf Last 12 Mth (Absolute)	(10.00)%
52 Week Range (R$)	15.76 - 21.00
Market Cap (R$ mn)	7,087
Free Float (%)	0.4
3-Mth Avg daily vol (R$ mn)	30
Outst shares (mn)	440

(R$)	2024A	2025E	2026E	2027E
Adj EPS	2.43	1.61	1.29	1.57
BVPS	20.97	9.77	10.05	10.84

(R$ mn)	2024A	2025E	2026E	2027E
Revenues	6,916	7,603	8,363	8,936
EBITDA	2,037	2,513	2,557	2,957
EBIT	1,513	1,844	1,790	2,104
Net Profit	509	707	568	693
FCFE	396	(961)	(695)	(183)
Net Debt	3,617	4,623	5,465	5,564
P/E (x)	7.4	10.0	12.5	10.2
EV/EBITDA (x)	3.6	4.7	4.9	4.3
FCFE Yield (%)	10.5	(13.6)	(9.8)	(2.6)
Div Yield (%)	11.2	4.9	5.0	4.0
Net Debt/EBITDA (x)	1.8	1.8	2.1	1.9

Sources: FactSet, Company Data and Santander estimates.

SLC Agrícola at a Glance

Santander Corporate & Investment Banking

Table 1. Key Company Data

	R$ mn				US$			
	2024A	2025E	2026E	2027E	2024A	2025E	2026E	2027E
P&L Account								
Revenues	6,916	7,603	8,363	8,936	1,282	1,354	1,493	1,576
EBITDA	2,037	2,513	2,557	2,957	378	447	457	522
EBITDA YoY Change (%)	*(24.8)*	*23.4*	*1.8*	*15.6*	(30.4)	18.5	2.1	14.2
EBITDA as % of Revenue	*29.4*	*33.0*	*30.6*	*33.1*	29.4	33.0	30.6	33.1
EBIT	1,513	1,844	1,790	2,104	281	328	320	371
Net Financial Result	(999)	(1,053)	(1,148)	(1,301)	(185)	(188)	(205)	(229)
Associates	0	0	0	0	0	0	0	0
Taxes	(33)	(53)	(7)	(42)	(6)	(9)	(1)	(7)
Minorities	28	(30)	(67)	(69)	5	(5)	(12)	(12)
Net Profit	509	707	568	693	94	126	101	122
Adj Net Profit	509	707	568	693	94	126	101	122
YoY Change (%)	(43.2)	38.9	(19.7)	22.0	(47.4)	33.4	(19.5)	20.5
as % of Revenues	7.4	9.3	6.8	7.8	7.4	9.3	6.8	7.8
Cash Flow								
EBITDA	2,037	2,513	2,557	2,957	378	447	457	522
Lease Payments	(536)	(535)	(795)	(885)	(99)	(95)	(142)	(156)
Changes in Wkg. Capital	999	(270)	(164)	(75)	185	(48)	(29)	(13)
Capital Expenditures	(1,100)	(1,532)	(1,071)	(768)	(204)	(273)	(191)	(136)
Cash Financials	(999)	(1,053)	(1,148)	(1,301)	(185)	(188)	(205)	(229)
Cash Taxes	(32)	(53)	(7)	(42)	(6)	(9)	(1)	(7)
Other Cash Items	28	(30)	(67)	(69)	5	(5)	(12)	(12)
Free Cash Flow to Equity	396	(961)	(695)	(183)	73	(171)	(124)	(32)
Other Invest./(Divest.)	0	0	0	0	0	0	0	0
Dividends	424	347	354	284	79	62	63	50
Capital Increases/Other	10	0	(160)	0	2	0	(29)	0
Change in Net Fin. Debt	775	1,200	1,200	0	144	214	214	0
Balance Sheet								
Cash and Equivalents	1,980	2,174	2,531	2,433	321	403	452	424
Current Assets	6,411	6,539	7,172	7,369	1,038	1,211	1,281	1,284
Goodwill	122	122	122	122	20	23	22	21
Non-Curr Assets (ex g'will)	9,062	10,390	11,416	12,140	1,468	1,924	2,039	2,116
Total Assets	17,574	19,224	21,242	22,064	2,847	3,560	3,793	3,846
Current Liabilities	6,146	6,054	6,476	6,680	995	1,121	1,156	1,164
Non-Current Liabilities	7,324	8,735	10,141	10,343	1,186	1,618	1,811	1,803
Minorities	107	137	204	273	17	25	36	48
Shareholders' Equity	3,998	4,297	4,421	4,768	648	796	790	831
Total Liabilities & Equity	17,574	19,224	21,242	22,064	2,847	3,560	3,793	3,846
Net Financial Debt	3,617	4,623	5,465	5,564	586	856	976	970
Other Ratios								
Dividend Payout (%)	0.7	0.5	0.5	0.5	0.7	0.5	0.5	0.5
EV/EBIT (x)	4.9	6.4	7.0	6.0	4.9	6.4	7.0	6.0
FCFF Yield (%)	16.6	(5.6)	(0.9)	0.9	16.6	(5.6)	(0.9)	0.9
P/BV (x)	0.9	1.6	1.6	1.5	0.9	1.6	1.6	1.5

Source: Company Data and Santander estimates.

Investment Case

We see a more challenging outlook for SLC ahead, given (i) the strong capex cycle passed through in 1H25 which limited the company's cash flow generation for 2025 and 2026, coupled with (ii) higher input costs for the next crop. On the flip side, we see a rebound in yields and a better outlook for soybean prices ahead. Moreover, we expect SLC to capture 45% of the economic value of the land bank of the leased assets, while the company is currently trading at a ~30% discount to its owned land bank.

Key Value Drivers

SLC has outperformed Brazil's average productivity yields in 70% of its harvests since 2010. Moreover, we expect SLC to deliver a 7% return on its complete land bank (including owned and leased area), vs. its leasing cost of 3.2%, implying that the company has been able to capture ~30% of the value of leased land appraisal. As such, growing leased area could move the discount even higher, creating a positive balance of risks.

Investment Risks

Downside risks include: (i) a slowdown in cotton demand from Asia and decelerating apparel consumption in the U.S.; (ii) an inability to deliver the expected growth in leased areas; (iii) the re-valuation of leasing costs; (iv) additional crop losses; and (v) crop input prices bouncing back. Upside risks include: (i) higher demand and prices of soft commodities from Brazil due to trade war; and (ii) further depreciation of the BRL

Catalysts

(i) Higher planted areas, (ii) growing yields, (iii) re-evaluation of SLC's landbank, (iv) higher commodities prices (corn, soybean, cotton), (v) U.S. economic growth and additional apparel demand in the country, (vi) a weaker BRL.

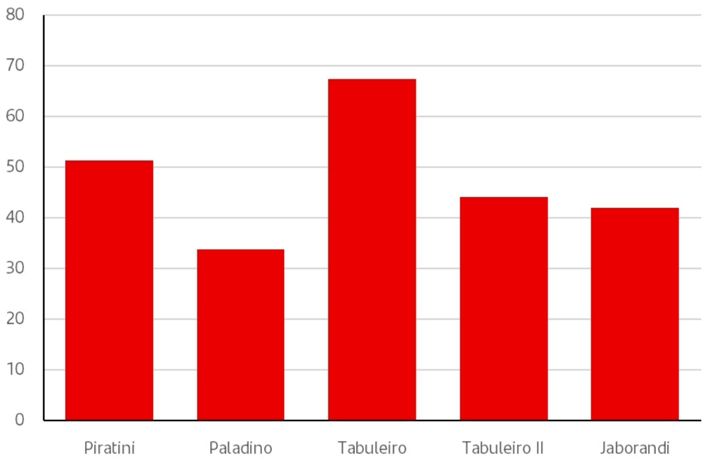
Company Description

SLC Agrícola is one of the world's largest grain and fiber producers, focused on the production of cotton, soybean and corn. It also owns the SLC Sementes brand, which produces and sells soybean and cotton seeds. The company owns 22 production sites in 7 Brazilian states, totaling 671,946 hectares (2021-22 crop). The company's business model is based on a modern production system, with large-scale, standardized production units, high technology, strict control of costs and social and environmental responsibility.

Land Valuation in Line with Regional Market Average

SLC valued the combined Piratini and Paladino farms at **R$42,000 per hectare**, with Piratini at **R$51,000 per hectare** and Paladino at **R$34,000 per hectare**. Although these figures are below SLC's portfolio average of **R $58,000 per hectare**, we consider the transaction to be at fair market value for the region. Comparable land valuations range between **R$42,000 and R$64,000 per hectare**, depending on irrigation levels. Our analysis references Tabuleiro I, Tabuleiro II, and Jaborandi adjusted to present value as benchmarks.

Figure 1 - Piratini's Valuation vs. Recent Farmer Deals in Bahia State (R$ thousand/hc)



Source: Santander estimates, SLC, 051 Capital, Brasilagro

Jaborandi's valuation considers the NPV of Brasilagro's deal

Changes to our estimates

SLC: 2025-2027E Earnings Estimates (R$mn)

BRL	2025E			2026E			2027E		
	New	Previous	Δ%	New	Previous	Δ%	New	Previous	Δ%
Net Revenue	7,603	7,645	-1%	8,363	8,404	0%	8,936	8,834	1%
Gross Profit	2,758	2,987	-8%	2,797	3,159	-11.5%	3,181	3,220	-1%
Gross Margin	*36.3%*	*39.1%*	*-3 p.p*	*33.4%*	*37.6%*	*-4 p.p*	*35.6%*	*36.5%*	*-1 p.p*
EBITDA after Leasing	1,977	2,178	-9%	1,762	2,230	-21%	2,072	2,248	-8%
EBITDA Margin	*26.0%*	*28.5%*	*-2 p.p*	*21.1%*	*26.5%*	*-5 p.p*	*23.2%*	*25.4%*	*-2 p.p*
Net Income	707	870	-19%	568	832	-32%	693	803	-14%

Source: Cotton area (k he)

Santander vs. Consensus

Figure 2 - SLC: 2025-2027E Santander Estimates vs VA Consensus (R$mn)

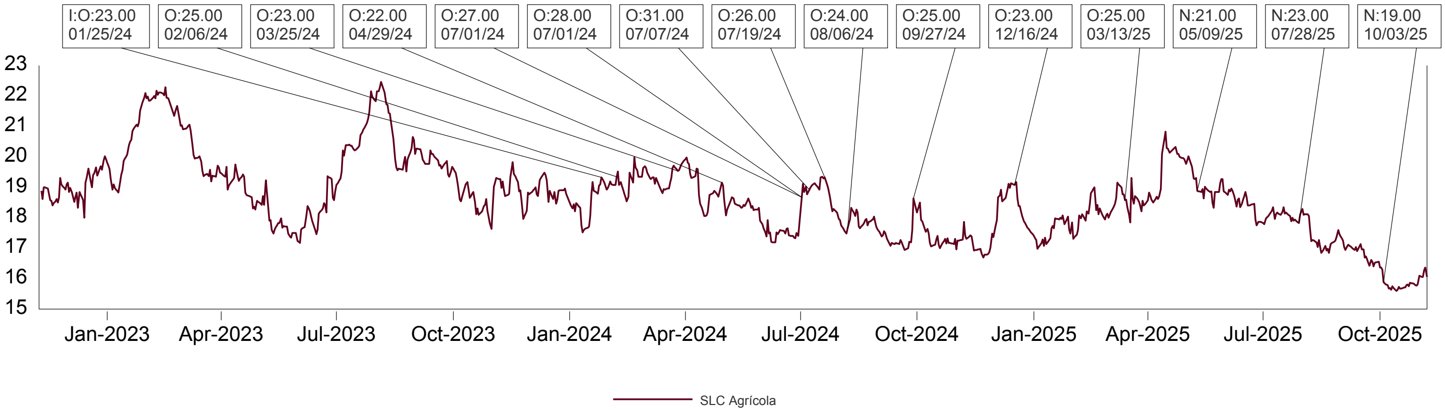
Consolidated	2025E			2026E			2027E		
	Santander	Consensus	Δ%	Santander	Consensus	Δ%	Santander	Consensus	Δ%
Net Revenue	7,603	8,377	-9%	8,363	8,738	-4%	8,936	8,969	0%
Gross Profit	2,758	3,064	-10%	2,797	3,036	-8%	3,181	3,156	1%
Gross Margin	*36%*	*37%*	*0 p.p.*	*33%*	*35%*	*-1 p.p.*	*36%*	*35%*	*0 p.p.*
Adj. EBITDA	2,513	2,640	-5%	2,557	2,821	-9%	2,957	2,960	0%
Adj. EBITDA Margin	*33%*	*32%*	*2 p.p.*	*31%*	*32%*	*-2 p.p.*	*33%*	*33%*	*0 p.p.*
Net Income	707	808	-12%	568	742	-23%	693	880	-21%

Source: Santander Estimates, Visible Alpha consensus

Valuation and Risks

Our YE2026 target price is 50/50 blended of: (i) a four-year DCF-based valuation; and (ii) fair land value. Our DCF analysis considers: (i) ke of 17.9% (previously 18.2%); and (ii) a long-term growth rate of 5%. Our fair value of the land is estimated at R$12.5 billion with proportional stake, with a leasing yield of 3.5% and leasing cost of R$601 million. Downside risks include: (i) a slowdown in cotton demand from Asia and decelerating apparel consumption in the U.S.; (ii) an inability to deliver the expected growth in leased areas; (iii) the re-valuation of leasing costs; (iv) additional crop losses; and (v) crop input prices bouncing back. Upside risks include: (i) higher demand and prices of soft commodities from Brazil due to trade war; and (ii) further depreciation of the BRL

SLC Agrícola - Three-Year Stock Performance (R$)



Sources: FactSet and Santander.

Valuation & Risks

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SLC Agrícola

Santander Corporate & Investment Banking

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		% of Companies	
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